COCA-COLA'S GLOBAL BUSINESS STRATEGY

How does one global brand work through a network of local businesses?

BUSI-1763 | DYNAMICS OF GLOBAL BUSINESS AND PRACTICES

A1 GROUP MIND MAP | FOUR MODULE LENSES

200+
countries and territories

2.2 billion
servings each day

44%
of 2025 unit case volume came from the five largest independent bottlers

Company-reported 2025 figures [1]

1 GLOBALISATION & LOCAL ADAPTATION

Global scale | Local response

- GLOBAL REACH: products are sold in more than 200 countries and territories; about 2.2 billion servings a day [1].
- GLOBAL ASSETS: brands, concentrates, product standards and marketing support connect markets [1].
- LOCAL RESPONSE: independent bottlers mix, package and distribute drinks in their territories [1, 2].
- INTEGRATION-RESPONSIVENESS: shared standards support consistency, while tastes, prices, language and rules differ across markets [8].
- ADVANTAGE: global brand recognition combines with local knowledge and distribution reach.
- OUR ANALYSIS: local partners extend the system's reach, while making coordination a strategic risk.



2 FOREIGN DIRECT INVESTMENT

Ownership and market entry

- DISTINCTION: FDI involves a lasting cross-border investment relationship and influence. A bottling contract alone is not FDI [3].
- PARTNER MODEL: most branded drinks are handled by independent bottlers, which are separate companies [1].
- SELECTIVE CONTROL: Coca-Cola has consolidated operations, may take control of underperforming bottlers, and can later refranchise them [1].
- OLI LENS: brands and concentrates (O); local market access (L); choosing contracts or ownership (I) [1, 4].
- TRADE-OFF: ownership can increase control, but needs capital and management attention. Partners add local capability.
- CAUTION: the evidence supports a mixed model, not the claim that every bottler is owned by Coca-Cola.

3 GLOBAL VALUE CHAINS & NETWORKS

From inputs to customers

Suppliers and packaging → **Brand + concentrate** → **Bottlers** → **Retail + distribution** → **Customers**

- DIVISION OF WORK: Coca-Cola provides brands and concentrates; suppliers and bottlers contribute inputs and production [1, 2].
- PARTNER SCALE: the five largest independent bottlers handled 44% of 2025 worldwide unit case volume [1].
- GOVERNANCE: territory contracts set rights and product rules, while bottlers remain independent companies [1, 5].
- VALUE: local production and distribution connect global products with local customers.
- DEPENDENCY: quality, supply continuity and brand reputation partly depend on partner performance [1].

4 POLITICAL ECONOMY & INSTITUTIONS

Business, policy and society

- TAX PRESSURE: WHO reports at least 116 countries tax one or more categories of sugary drinks [6].
- POLICY TENSION: governments may prioritise health while companies pursue sales and growth; tax design varies by country [6].
- ENVIRONMENT: water rules, wastewater controls and packaging regulation affect production and distribution [1].
- STAKEHOLDERS: regulators, consumers, health groups, bottlers and local communities can shape the conditions for business.
- STRATEGIC RESPONSE: responsible marketing, clear product information, water stewardship and packaging systems that support reuse and recycling [1, 7].
- EVALUATION: long-term market access depends on legitimacy as well as commercial reach.

GROUP CONCLUSION

Coca-Cola combines globally managed brand assets with locally operated bottling and distribution. This model expands reach and shares investment, but it also makes partner coordination, public trust and responsible resource use central to long-term performance.

KEY DISCUSSION How should Coca-Cola balance market growth with health and packaging responsibilities across its network?

SELECTED REFERENCES

[1] The Coca-Cola Company (2026), 2025 Form 10-K, year ended 31 Dec 2025. investors.coca-colacompany.com/filings-reports/all-sec-filings/content/0001628280-26-010047/ko-20251231.htm

[2] The Coca-Cola Company, The Coca-Cola System. coca-colacompany.com/about-us/coca-cola-system

[3] OECD (2025), Benchmark Definition of Foreign Direct Investment, 5th ed. doi.org/10.1787/7f05c0a3-en

[4] Dunning, J. H. (1988), The eclectic paradigm of international production, Journal of International Business Studies, 19, 1-31. doi.org/10.1057/palgrave.jibs.8490372

[5] Gereffi, G., Humphrey, J. and Sturgeon, T. (2005), The governance of global value chains, Review of International Political Economy, 12(1), 78-104. doi.org/10.1080/09692290500049805

[6] WHO (2026), Global report on sugar-sweetened beverage taxes, 2025 edition; WHO news release, 13 Jan 2026. who.int/publications/i/item/9789240118942; who.int/news/item/13-01-2026-cheaper-drinks-will-see-a-rise-in-noncommunicable-diseases-and-injuries

[7] UNEP (2023), Turning off the Tap: How the world can end plastic pollution and create a circular economy. unep.org/resources/turning-off-tap-end-plastic-pollution-create-circular-economy

[8] Bartlett, C. A. and Ghoshal, S. (1989), Managing Across Borders: The Transnational Solution, Harvard Business School Press.

SCAN TO OPEN OUR PRESENTATION

Poster · research · references